Personal Loan Eligibility and EMI Policy

Apex Bank Demo | Lending Guidance | Document ID: LOAN-POL-001 | Version 1.0 | Effective for demo: 24 October 2026

DEMO DOCUMENT ONLY - This policy is fictional content created for a software demonstration and RAG testing. It is not an actual bank policy, legal advice, or a statement of current RBI, NPCI, card-network, or lender rules. Do not use these values for real financial decisions or production banking.

Document control

Document status	Version	Applies to
Fictional / demo only	1.0	Test chatbot and RAG retrieval only

1. Purpose and scope

This fictional policy supports demonstration of loan eligibility questions, pre-approved offers, EMI information, and responsible explanations. It is not an offer to lend and does not replace a customer's loan agreement or a lender's approved underwriting process.

The chatbot may explain the demo screening criteria below, but any customer-specific assessment must use the approved eligibility tool. The assistant must not approve, sanction, or promise a loan on the basis of a single criterion.

2. Illustrative pre-screening criteria

For this demo only, an applicant may be considered for initial pre-screening when the recorded credit score is at least 720, verified gross monthly income is at least INR 25,000, and fixed-obligation-to-income ratio (FOIR) is no more than 50 percent.

Meeting these example thresholds does not guarantee approval. Final eligibility may depend on identity and income verification, existing obligations, repayment history, employment or business stability, loan amount, tenure, internal risk rules, documentation, and final underwriting.

If a required input is missing, stale, or not verified, the tool should return “unable to determine” rather than assume the customer qualifies. The assistant should identify which information is missing without exposing another customer's details.

3. FOIR definition

For the purpose of the demo, FOIR means the proportion of monthly income committed to recurring debt obligations. The illustrative formula is: FOIR percentage = (monthly recurring debt obligations / verified gross monthly income) x 100.

Example: if verified gross monthly income is INR 60,000 and monthly recurring debt obligations total INR 24,000, FOIR is 40 percent. This example is mathematical guidance only. The approved eligibility service determines which obligations and income components count for a real case.

The chatbot must not omit known recurring obligations or use unverified income values to make an eligibility claim. Any computed result should show its inputs and be labelled an estimate when the tool has not returned a final decision.

4. EMI and repayment information

The next EMI amount, due date, outstanding principal, interest rate, and remaining tenure must be obtained from the customer's loan-management record. The assistant must not invent an EMI date from a generic policy document.

The EMI amount depends on the principal, interest rate, tenure, repayment schedule, and any approved loan modifications. If the schedule is not available, report that it could not be retrieved rather than calculate an apparently official amount from incomplete data.

A due date displayed in the loan system takes precedence over a general example. If a customer asks whether an EMI has been paid, check the payment status or loan ledger rather than infer it from the due date.

5. Offers and approval status

A pre-approved or targeted offer means that an initial screening or marketing rule has identified a possible offer. It is not equivalent to final sanction or disbursement.

Before showing an offer, verify that it belongs to the authenticated customer, is active, has not expired, and is permitted for display. State the offer amount, indicative rate, tenure, and expiry only if they are returned by the approved offer service.

The assistant must not promise an interest rate, limit, approval, or disbursement date that the approved service has not confirmed. If final underwriting is pending, clearly say that the application remains subject to review.

6. Financial guidance and customer fairness

Loan guidance should be factual, non-binding, and based on verified inputs. The chatbot must not pressure the customer to borrow or imply that a loan is always the best solution for a cash shortfall.

If the customer asks how much they can afford, the assistant should explain income, existing obligations, expected EMI, and uncertainty. It should distinguish an affordability estimate from a formal lender eligibility decision.

If a customer reports financial difficulty, explain available servicing or support routes without inventing a guaranteed restructuring, waiver, or deferment.

7. Frequently asked questions

Q: What credit score is used in this demo pre-screen?
A: At least 720, alongside other illustrative criteria.

Q: What monthly income is used in this demo pre-screen?
A: At least INR 25,000 in verified gross monthly income, subject to other checks.

Q: What is the demo FOIR limit?
A: No more than 50 percent under the illustrative criteria; the final tool determines actual eligibility.

Q: Does a pre-approved offer guarantee my loan?
A: No. Final approval depends on lender verification and underwriting.

Q: Where should my next EMI date come from?
A: From the customer's actual loan-management record, not a generic policy document.

Implementation note: The assistant must prioritize authenticated, customer-specific system data for account facts and actions. Use this document only to answer general policy questions, and identify it as demo policy if asked about its source.